

HOUSE BILL 1461

By Clemmons

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 8 and Title 68, relative to high performance
computing facilities.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 68, Chapter 204, is amended by adding
the following new section:

(a) As used in this section:

(1) "Department" means the department of environment and
conservation;

(2) "High performance computing (HPC) facility" means a facility, other
than a facility owned or operated by a federal, state, or local governmental entity,
that houses or operates a supercomputer, data center, artificial intelligence (AI)
data center, AI factory, AI-optimized computing facility, HPC or AI cluster or
supercluster, or exascale computing system in this state that utilizes, on average,
more than fifty megawatts (50 MW) per month for its operation and maintenance;
and

(3) "Public benefit":

(A) Means a positive material effect or a reduction in negative
material effect on individuals, businesses, and communities in this state;
and

(B) Includes, but is not limited to, a positive material effect or a
reduction in negative material effect on society, academia and education,

literacy, public health and benefits, environment, culture, and the economy.

(b) An HPC facility operator shall devote not less than fifty percent (50%) of the computing and data processing output of the HPC facility for a public benefit.

(c)

(1) An HPC facility operator shall annually report the source and amount of all energy utilized for its operation and maintenance to the department, council, comptroller of the treasury, and executive head and governing body of each local government in which the facility is located.

(2) The annual report must:

(A) Specify the HPC facility's carbon footprint in terms of total annual greenhouse gas emissions as the direct result of its operation and energy consumption, including, but not limited to, resource extraction, manufacturing, assembly, and transportation of materials and hardware;

(B) Summarize the HPC facility operator's efforts to reduce the energy consumption and carbon footprint of the HPC facility; and

(C) Specify each public benefit to which output was devoted as required pursuant to subsection (b), including the amount of output and the manner in which such public benefit was augmented.

(3) The annual report must be submitted no later than January 31, 2027, and each January 31 thereafter. The department, comptroller, and council shall post the annual reports prominently on their respective websites.

(d) An HPC facility operator shall conduct an annual internal audit on its compliance with this section, and upon request, permit such a compliance audit by the department, council, or comptroller of the treasury, or a third party retained by the

department, council, or comptroller to conduct the audit. The annual internal audit findings must be reported and posted in the same manner as the annual report in accordance with subdivision (c)(3).

(e) If an HPC facility operator fails to submit an annual report or internal audit in compliance with this section, or if a recipient of such report or audit finds that an HPC facility is not otherwise in compliance with this section, then the recipient shall provide written notice to the HPC facility operator of noncompliance and that the HPC facility operator has thirty (30) days to comply with this section. If the HPC facility is not in compliance at the end of such period, the recipient shall suspend any applicable operating license or permit of the HPC facility, pending compliance. The comptroller of the treasury shall certify compliance to the department and each applicable local government for purposes of reinstating a license or permit of the HPC facility. If an HPC facility operator fails to timely comply with this section after receiving notice of noncompliance under this subsection (e), such license and permit must remain suspended, and the department and each applicable local government shall not renew such license or permit of the HPC facility until the comptroller of the treasury certifies compliance.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.